

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Financial markets** swooned at the emergence of a dark-horse power in artificial intelligence, which sent shares of Nvidia down 17% and posed a fresh threat to the multitrillion-dollar boom in the U.S. tech sector. The S&P 500 and Nasdaq slid 1.5% and 3.1%, respectively, while the Dow rose 0.7%. **A1, A4**
- ◆ **The Senate confirmed** Scott Bessent as treasury secretary, putting the longtime investor at the center of Trump's efforts to cut taxes, fight inflation and impose stiff tariffs on imports. **A2**
- ◆ **Vanke, regarded as** among the more prudent of China's big property developers, warned of a multibillion-dollar loss and accepted the resignations of its chairman and CEO. **B1**
- ◆ **Tesla and BMW** sued the European Commission, joining a growing band of automakers manufacturing in China to oppose the EU for its punitive tariffs on electric vehicles. **B1**
- ◆ **Workers at a Philadelphia** Whole Foods Market voted to form a union, the first time employees of the Amazon-owned grocer have organized in decades. **B1**
- ◆ **Tech investor and** LinkedIn co-founder Reid Hoffman joined researcher Siddhartha Mukherjee to launch an AI drug-discovery startup with \$24.6 million of initial funding. **B3**
- ◆ **Shares of Universal Music** rose 7.4% in Amsterdam after it said it signed an agreement for recorded music and music publishing with Spotify. **B4**
- ◆ **Ryanair said it expects** to fly fewer passengers in fiscal 2026 than hoped for, again cutting its passenger-growth target due to delays in the delivery of Boeing planes. **B3**

World-Wide

- ◆ **The Trump-era** Justice Department fired more than a dozen lawyers who worked on special counsel Jack Smith's two prosecutions of the president, while a Trump appointee opened an internal review of the department's decision to charge hundreds of Jan. 6 defendants with felony obstruction offenses in connection with the Capitol attack. **A1**
- ◆ **Tens of thousands of** Palestinians began returning to northern Gaza after Hamas agreed to release more hostages than expected to maintain its cease-fire with Israel. **A11**
- ◆ **Some of the Israeli** women released by Hamas over the past two weeks still had shrapnel in their bodies from untreated wounds they suffered in the attack on Oct. 7, 2023, an Israeli medical official said. **A10**
- ◆ **A Trump administration** order pausing almost all foreign aid has left counterterrorism training in Somalia, HIV treatment in Uganda and many more overseas assistance programs in limbo. **A8**
- ◆ **The White House** told executive departments and agencies to broadly pause federal grants, loans and other financial assistance programs pending a review by the administration. **A8**
- ◆ **Arrests of immigrants** in the U.S. illegally are ramping up, government data show, with ICE making nearly 1,200 arrests on Sunday and just under 1,000 on Saturday. **A3**
- ◆ **NATO mounted its** first coordinated response to a suspected sabotage campaign against critical infrastructure, after another underwater data cable was severed in the Baltic Sea. **A12**

CONTENTS	Markets Digest..... B5
Arts in Review..... A15	Opinion..... A17-19
Business & Finance B2	Personal Journal A13-14
Business News..... B3	Sports..... A16
Crossword..... A15	Technology..... B4
Heard on Street... B9	U.S. News..... A2-8
Markets..... B8	World News A10-12A20



DeepSeek Flips Script on AI

Chinese dark horse emerges, threatening a market darling and other big tech stocks

For two years, markets' belief that the rise of artificial intelligence would usher in a new

By *Gunjan Banerji, Asa Fitch and Karen Langley*

era of productivity growth has fueled trillions of dollars in stock-market gains.

Nvidia, the maker of the computer chips at the heart of

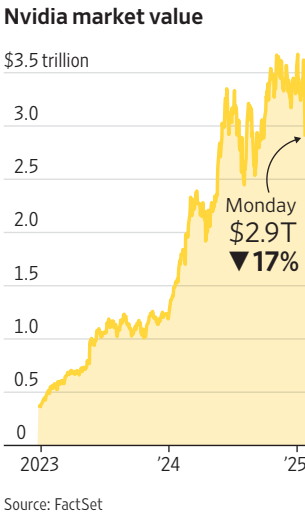
the AI boom, has been in the vanguard of this advance. Wall Street has perceived the company to have an almost unreachable defense against competition with its offerings of high-tech chips. The company's rapid growth and windfall profits have helped push other technology firms and the Nasdaq Composite Index to record after record, with giddy investors expecting more of the same down the road.

On Monday, the mood turned sour. DeepSeek, a dark-horse power in artificial intelligence, emerged from China. That rattled big tech stocks, led by a plunge of almost \$600 billion in

Nvidia, which only last week was the world's most valuable company. Nvidia's fall marked the largest one-day loss in market value for any public company.

DeepSeek released last week an AI model that appeared to perform on par with a cutting-edge counterpart from OpenAI, the U.S. firm at the heart of the AI craze. The twist: Creative engineering tricks meant DeepSeek needed far less computing power. The upshot is that the AI models of the future might not require as many high-end Nvidia chips as investors have counted on.

Please turn to page A4



Market Plunges As China Firm Stirs Worries

Fresh threat to AI in the U.S. wipes out about a trillion dollars from stock market

Financial markets swooned on Monday at the emergence of a dark-horse power in artificial intelligence, sending shares of AI-darling Nvidia down 17% and posing a fresh threat to the multitrillion-dollar boom in the U.S. tech sector.

By *Gunjan Banerji, Asa Fitch, and Alexander Osipovich*

The development wiped out more than \$590 billion from Nvidia's market value and tarnished one of the stock market's brightest stars.

Shares of OpenAI backer Microsoft fell 2.1%. Casualties of the selloff extended to the energy sector, including electricity generators whose shares had rallied on expectations of surging demand from data centers serving the AI revolution. Constellation Energy shares dropped 21%, GE Vernova shares fell 21%, and Vistra shed 28%.

In all, Monday's market bloodbath wiped out some \$1 trillion from the stock market's value, according to Dow Jones Market Data.

The furor centers on a Chinese company, DeepSeek, which released an AI model last week that appeared was particularly good at problem solving, performing on par with a counterpart from OpenAI.

Please turn to page A4

◆ **Heard on the Street: U.S. AI titans won't sink.....** B9

Eighty Years Later, Death Camp Survivors Return



NEVER FORGET: Holocaust survivor Stanislaw Zalewski attends a ceremony Monday at Auschwitz-Birkenau in Poland to mark 80 years since the 1945 liberation of the Nazi concentration camp, where some 1.1 million people were murdered. **A20**

No Plan B for Broken German Economy

Export-reliant nation faces slowing China trade, U.S. tariff threats

By *TOM FAIRLESS and BERTRAND BENOIT*

INGOLSTADT, Germany—Christian Scharpf, the mayor of this city of 140,000, Germany's second richest, is looking for ways to save close to €100 million.

Carmaker Audi, headquartered here near the Danube river, used to pump over €100 million a year in municipal tax into Ingolstadt's coffers through its parent, Volks-

wagen, but those flows dried up over a year ago. Audi in November reported a 91% decline in operating profit for the three months through September and has been cutting thousands of jobs in Germany.

Audi's business in China, where Germany's flagship car industry used to make a big chunk of its sales and an even bigger chunk of profits, shrank by a quarter in the nine months through September

Please turn to page A12

INSIDE



JASON GAY

Birds vs. behemoth: Do the Eagles have a chance against the Chiefs? **A16**

PERSONAL JOURNAL

Tax season has arrived—here are key changes to consider before filing your 2024 return. **A13**

DOJ Fires Lawyers On Two Trump Cases

By *C. RYAN BARBER and SADIE GURMAN*

The Trump-era Justice Department on Monday fired more than a dozen lawyers who worked on special counsel Jack Smith's two prosecutions of the president, while a Trump appointee opened an internal review of the department's decision to charge hundreds of Jan. 6 defendants with felony obstruction offenses in connection with the Capitol attack.

Together, the moves escalated the Trump administration's planned shake-up at the department and signaled its

eagerness to swing back at people Trump believes targeted him unfairly during the Biden era.

Acting Attorney General James McHenry fired the prosecutors because "he did not believe these officials could be trusted to faithfully implement the president's agenda because of their significant role in prosecuting the president," a Justice Department official said.

Ed Martin, the interim U.S. attorney in Washington, is leading the review of Jan. 6 prosecutions, according to people familiar with the matter.

Please turn to page A6

Region Turns Traffic Anger On a Figurine

Local's Playmobil creation becomes favorite scapegoat

By *JOE BARRETT*

FOX POINT, Wis.—Karen Olsen was running late to pick up a friend for a charity walk in September when she took a quick turn to avoid construction and hit a pothole, destroying two tires.

"Damn it, Ed," muttered the 47-year-old software consultant.

It's a refrain heard across Milwaukee's northern suburbs, where a massive construction project has been snarling traffic for several years. Drivers' frustrations have found satirical outlet in Ed Lebiecki, a mustachioed three-inch-tall plastic

Please turn to page A14

Gazans Survey Damage After Cease-Fire Deal

When a cease-fire took effect in Gaza earlier this month, Ibrahim Raba'a went back to Jabalia—the scene of rounds of intense fighting between Palestinian militant group Hamas and the Israeli military—to see what had become of his home.

By *Abeer Ayyoub, Jared Malsin and Anat Peled*

"I was shocked by what I saw. The whole area is destroyed," said Raba'a, 35 years old. The apartment building that housed his extended family had been reduced to rubble, he said, and the small coffee shop he ran was badly damaged and filled with sand.

Across swaths of the Gaza Strip, the extent of destruction from 15 months of war is so vast that many Palestinians, able to survey the damage for the first time since the fighting stopped, said they

don't think they will be able to return to their homes soon.

Entire neighborhoods have been flattened. There is no running water or electricity in much of the strip. Many dead bodies are believed buried under collapsed buildings. In parts of Jabalia, the landscape was so strewn with debris that it was difficult to find a place to pitch a tent, residents seeking to return said.

The scale of the damage will weigh heavily on efforts to rebuild in the Gaza Strip and likely cast a long shadow over postwar recovery for the Palestinian enclave. If and when there is a durable peace, the challenge of reconstruction in Gaza will rival that of any battlefield in the recent

Please turn to page A11

- ◆ **Freed hostages endured 15 brutal months.....** A10
- ◆ **Palestinians stream back to northern Gaza.....** A11

Agentforce can help thousands of shoppers with spot-on style recos. Every second.

Agentforce What AI Was Meant to Be